OEPI Research Update: School Funding Formula and School Choice Overviews, Property Reappraisal and Property Tax Reform Overview & School Levy Update

Dr. Howard Fleeter

Ohio Education Policy Institute

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Part I: FY26-27 Foundation Funding Formula Overview

What Does the *DeRolph* Decision Say About Adequacy?

The 4 *DeRolph* Rulings laid a clear road map regarding both the Equity and Adequacy of Ohio's school funding formula.

- The March 24, 1997 *DeRolph I* ruling states on pages 14 & 15,

"The "formula amount" has no real relation to what it actually costs to educate a pupil. In fact, Dr. Howard B. Fleeter, Assistant Professor at the School of Public Policy and Management at Ohio State University, stated that the foundation dollar amount "is a budgetary residual, which is determined as a result of working backwards through the state aid formula after the legislature determines the total dollars to be allocated to primary and secondary education in each biennial budget. Thus, the foundation level reflects political and budgetary considerations at least as much as it reflects a judgment as to how much money *should* be spent on K-12 education." (Emphasis *sic*.)". (Note that the *italics* were added by the court)

- **This means that the state needs to employ an objective methodology to determine the base cost amount rather than the legislature setting that amount.** This principle, which also applies to categorical funding, was reaffirmed in all subsequent *DeRolph* rulings.

What Does *DeRolph* Say About Equity (i.e. what does "Over-Reliance on the Local Property Tax" Really Mean?

Page 40 of the *DeRolph I* ruling provides some clarity on what the court really meant by over-reliance on the local property tax:

"We also reject the notion that the wide disparities in educational opportunity are caused by the poorer school districts' failure to pass levies. ***The evidence reveals that the wide disparities are caused by the funding system's overreliance on the tax base of individual school districts***. What this means is that the poor districts simply cannot raise as much money even with identical tax effort. For example, total assessed property valuation in the Dawson-Bryant School District in 1991 was $28,882,580, while Beachwood School District in Cuyahoga County had $376,229,512. (The two districts have about the same number of pupils.)" (***Italics*** added by Howard Fleeter).

This passage indicates that the court felt that the problem with over-reliance on the local property tax was the disparity created between rich and poor school districts. **In this sense, the issue is clearly one of inequity in the distribution of local resources**, not merely "Ohio's property taxes are too high" or "Ohio has too many school levies".

And as with the adequacy issue, this interpretation has also been consistently repeated in the subsequent *DeRolph* rulings.

Objectives for Ohio’s FY26-27 School Funding Formula

1. The final 2 steps of the phase-in of the FSFP should be completed in the FY26-27 biennium. The phase-in percentages should be 83.33% in FY26 and 100% in FY27.
2. The data used in both the base cost calculation and the local capacity measure should be annually updated and use the most current data available.
3. At minimum, the base cost data (which was base FY22 in both FY24 and FY25) should be updated to FY23. If the base cost data is <u>not</u> updated to FY24 (for FY26) and to FY25 (for FY27) the property valuation and income data used in the state/local share calculation should also not be updated and the state share should be frozen for each district at FY25 levels.
4. The findings from the Special Education and English Learner costs studies completed in December 2022 should be incorporated into the FY26-27 funding formula.
5. Groundwork should be laid for updating the method used to identify economically disadvantaged students and to incorporate the findings from the DPIA cost study (which was not released until this summer)

Governor's Proposed FY26-27 Funding Formula

- As he did 2 years earlier, the Governor extended the phase-in of the funding formula by 2 years to the FY26-27 biennium. This included increasing the minimum state share of transportation funding to 45.83% in FY26 and to 50% in FY27.
- The property value and income data that is used to calculate the state share of the foundation formula was updated in both FY26 and FY27.
- However, the Governor <u>did not update the base cost inputs</u> so FY26 and FY27 funding would again be based on FY22 data.
- ***The combination of the updating of the data used in the state/local share calculation and the failure to update the base cost inputs data led to a significant decrease in the state share for over 80% of Ohio's school districts in the next biennium under the Executive Budget.***
- No changes were proposed in the funding formulas for Special Education, English learners and DPIA.
- Perhaps the most dramatic aspect of the Governor's proposed funding formula was the imposition of a 5% reduction in the transitional aid guarantee <u>base amount</u> in FY26 and a 10% reduction in FY27.

FY26-27 Funding Formula Overview

As is typical, the final FY26 and FY27 foundation funding formula can be thought of as a combination of the Executive, House and Senate funding formulas. The FY26-27 school foundation formula has the following components:

- Governor's version of the FY26-FY27 funding formula *(incorporate final 2 years of phase-in, update state share calculation, but no increase in base cost inputs)*
- Maintains the House's *elimination of Supplemental Targeted Assistance*
- <u>Eliminates the Governor's Guarantee reductions</u> and returns to the *FY20 guarantee base specified in the Fair School Funding Plan*.
- Includes a modified version of the House's *Enrollment Growth Supplement* with payments of $225 per pupil in FY26 for districts with enrollment growth of more than 5% from FY22 to FY25 and $250 per pupil in FY27 for districts with enrollment growth of at more than 3%.
- Senate version eliminated House's *base funding supplement*, but this was restored in Conference Committee at $27 per pupil in FY26 and $40 per pupil in FY27.
- Modifies DPIA funding by facilitating a transition from using the current method of identifying economically disadvantaged students to the direct certification method of identifying low-income students.

FY26-27 Funding Formula Overview (cont.)

- DPIA funding in FY26 will be based on 75% FY25 economically disadvantaged student count and 25% direct certification count, and in FY27 will be based on 65% FY25 count and 35% direct certification count.
- Senate version of the budget implemented a *“performance supplement”* for districts that meet specified criteria on the school district Report Card Overall Performance rating, Progress component or improvement of the Progress component. Payment of $26 per pupil * times the number of stars received on Overall Performance or Progress report card rating.
- Conference committee slightly modified the performance criteria, cut the per pupil payment in half to $13 and moved this component outside the foundation formula (estimated $53.9 million annually instead of $107.8 million as in Senate)
- **Final budget estimated to be $385 million biennial increase over Governor’s Budget when performance bonuses included.**

Analysis of Funding Formula State Share, FY22-FY27

The impact of the imbalance between the annual updating of the property valuation and income data used in the state/local share calculation and the one-time updating to the input data used in the base cost calculation can be seen in the statewide average state share percentages in each of the 6 years of the FSFP:

- FY22: 41.6% (FY18 inputs used in base cost)
- **FY23: 40.6%** (inputs not updated – still FY18)
- FY24: 43.3% (base cost inputs updated from FY18 to FY22 “current year”)
- **FY25: 38.4%** (inputs not updated – still FY22)
- **FY26: 35.0%** (inputs not updated – still FY22)
- **FY27: 32.2%** (inputs not updated – still FY22)

The figures above show that each year that the base cost inputs were not updated the state share fell.

- By comparison, in FY99 (first year of the new formula after *DeRolph*) the statewide average state share of the base cost was 47.0%.
- And in FY19 the statewide average state share of the base cost was 46.3%
- **FY25 is the first year since at least FY99 that the state share was below 40%**

State Average State Share of Funding Formula Base Cost: FY99-FY27

Year	Base Cost Per Pupil	State Average Base Cost State Share %	Year	Base Cost Per Pupil	State Average Base Cost State Share %
FY99	$3,851	**47.0%**	FY14	$5,745	42.4%
FY00	$4,052	47.2%	FY15	$5,800	44.4%
FY01	$4,294	48.1%	FY16	$5,900	44.7%
FY02	$4,814	48.5%	FY17	$6,000	45.7%
FY03	$4,949	48.2%	FY18	$6,010	45.7%
FY04	$5,058	46.9%	FY19	$6,020	**46.3%**
FY05	$5,169	46.0%	FY20	Formula Frozen	--
FY06	$5,283	45.5%	FY21	Formula Frozen	--
FY07	$5,403	44.8%	FY22	$7,352*	41.6%
FY08	$5,565	**41.3%**	FY23	$7,352*	40.6%
FY09	$5,732	**41.8%**	FY24	$8,242*	43.3%
FY10	EBM*	48.3%	FY25	$8,242*	**38.4%**
FY11	EBM*	47.5%	FY26 Gov.	$8,242*	**35.0%**
FY12	Bridge Formula	--	FY27 Gov.	$8,242*	**32.2%**
FY13	Bridge Formula	--			

* In FY10 and FY11 (Evidence Based Model aka EBM) and from FY22-FY27 (Fair School Funding Plan) there was not a single base cost per pupil figure. FY22 through FY27 Base Cost Per Pupil figures shown are the statewide average

LSC Estimated Overall Impact of Conference Committee FY26-27 Funding Formula (Biennial Totals)

The bottom line of the final Conference Committee FY26-27 K-12 K-12 education budget can be summarized as follows:

- **Traditional school districts** biennial foundation funding formula increase vs FY25 funding = **$281.9 million including performance bonuses and $174.1 million increase without performance bonuses**
- **Districts add-ons** (special ed. transportation and preschool special ed.) biennial funding increase = **$104.3 million**
- **JVSDs** biennial foundation funding formula increase vs FY25 funding = **$111.6 million**
- **Community schools** biennial foundation funding formula increase vs FY25 funding = **$189.7 million** (no state share)
- **Voucher programs** biennial funding increase vs FY25 funding = **$327.1 million** (based on expected 8% increase in voucher enrollment)
- The following 2 slides examine **actual SFPR funding** in FY24, FY25 & FY26

FY24, FY25 & FY26 State Formula Funding Comparison (Fully Funded – i.e. No Phase-in)

Foundation Funding Formula Components ($ in Millions)	**FY24 Funding No Phase-In**	**FY25 Funding No Phase-In**	**FY26* Funding No Phase-In**
Base Cost	$5,125.6	$4,604.3	$4,075.8
Targeted Assistance & Capacity Aid	$1,056.5	$1,151.0	**$1,249.6**
Supplemental Targeted Assistance	$52.6	$52.3	$0
Special Education	$926.2	$880.8	$799.6
Disadvantaged Pupil Impact Aid	$578.5	$649.4	$560.6
Transportation	$617.9	$655.4	**$668.1**
Gifted Education	$78.4	$71.4	$61.3
Career Technical Education	$65.9	$64.9	$59.6
English Learners	$47.6	$46.7	$40.7
Base Funding Supplement	$0	$0	$37.8
Enrollment Growth Supplement	$0	$0	$23.9
Total Formula Funding Before Guarantees	**$8,549.3**	**$8,176.3**	**$7,577.0**
State Average State Share %	**43.3%**	**38.4%**	**35.0%**

* FY26 data is from the November #1 DEW School Finance Payment Report. This data is not yet finalized so these figures are subject to change.

FY24, FY25 and FY26 State Formula Funding Comparison (Actual Funding with Phase-in)

Foundation Funding Formula Components ($ in millions)	FY24 Phased-In Funding (50%)	FY25 Phased-In Funding (66.7%)	FY26* Phased-In Funding (83.3%)
Base Cost	$4,646.8	$4,458.9	$4,091.2
Targeted Assistance & Capacity Aid	$1,075.9	$1,132.4	$1,223.9
Supplemental Targeted Assistance	$52.6	$52.3	$0
Special Education	$774.9	$795.1	$770.3
Disadvantaged Pupil Impact Aid	$468.2	$552.3	$526.8
Transportation	$617.9	$655.4	$668.1
Gifted Education	$76.3	$72.3	$63.4
Career Technical Education	$58.7	$60.4	$58.2
English Learners	$36.1	$39.4	$38.0
Base Funding Supplement	$0	$0	$37.8
Enrollment Growth Supplement	$0	$0	$23.9
Total Formula Funding Before Guarantees	**$7,807.5**	**$7,818.6**	**$7,501.6**
Transitional Aid Guarantee	**$152.9**	**$285.0**	**$530.6**
Formula Transition Supplement (2nd Guarantee)	$28.3	$27.5	$46.0
Actual State Formula Aid	**$7,988.7**	**$8,131.1**	**$8,078.3**
# of Districts Receiving Supp. Targeted Assistance	36	36	0
# of Districts on Guarantee	**153**	**184**	**244**
# of Districts on Formula Transition Supplement	116	103	140
State Average State Share %	43.3%	38.4%	35.0%

* FY26 data is from the November #2 DEW School Finance Payment Report. This data is not yet finalized so these figures are subject to change. **If $55.6 million in Performance Supplement funding is included FY26 total SFPR funding = $8133.9 million.**

FY25-26 School Funding Formula Comparison

- The preceding two slides compare formula funding in FY24, FY25 vs FY26. The first slide shows state total funding if the formula were fully funded (i.e. no phase-in provisions) in each year, while the second slide shows actual funding taking into account the 66.7% phase-in in FY25 and the 83.33% phase-in in FY26.
- The ”fully funded” slide shows that the decline in the statewide average state share from 43.3% in FY24 to 38.4% in FY25 and to 35.0% in FY26) **decreases the “full funding” amount of the FSFP by $393 million in FY25 as compared to FY24 and by an additional $599 million from FY25 to FY26.**
- The “actual funding with phase-in” slide shows that <u>as of the November #1 SFPR report</u>, FY26 actual formula funding decrease by $53million more than actual funding in FY25. This is despite the increase in the phase-in percentage from 66.67% to 83.33%. Note that if the estimated $55.6 million in performance supplement funding is included then FY26 state funding is $2.8 million above FY25.
- Furthermore, the only reason that actual formula funding increases at all in FY26 is that the transitional aid guarantee nearly doubles from $285.0 million in FY25 to $530.6 million in FY26 (and the number of districts on the guarantee increases from 184 to 244). Prior to the 2 guarantees, formula funding in FY26 would have decreased by $317 million compared to FY25.

Part II: Ohio Community School and Voucher Update

Ohio Voucher Program History

Ohio currently has 5 voucher programs:

1. The **Cleveland** voucher program began in FY97.
2. The **Autism** voucher program began in FY05.
3. The **EdChoice** performance-based voucher program began in FY07.
4. The **Jon Peterson Special Needs** voucher program began in FY13.
5. The **EdChoice Expansion** income-based voucher program began in FY14.

- In FY25 there were 8,345 Cleveland voucher students.
- In FY25 there were 6,016 Autism voucher students.
- In FY25 there were 8,680 Jon Peterson voucher students.
- In FY25 there were 42,605 EdChoice voucher students.
- In FY25 there were 100,398 EdChoice Expansion voucher students. In FY23 there were only 23,272 EdChoice Expansion voucher students.
- In FY23 the total number of voucher students was 82,992. By FY25 the total number of voucher students had more than doubled to 166,584. This increase was almost entirely due to changes made to EdChoice Expansion.

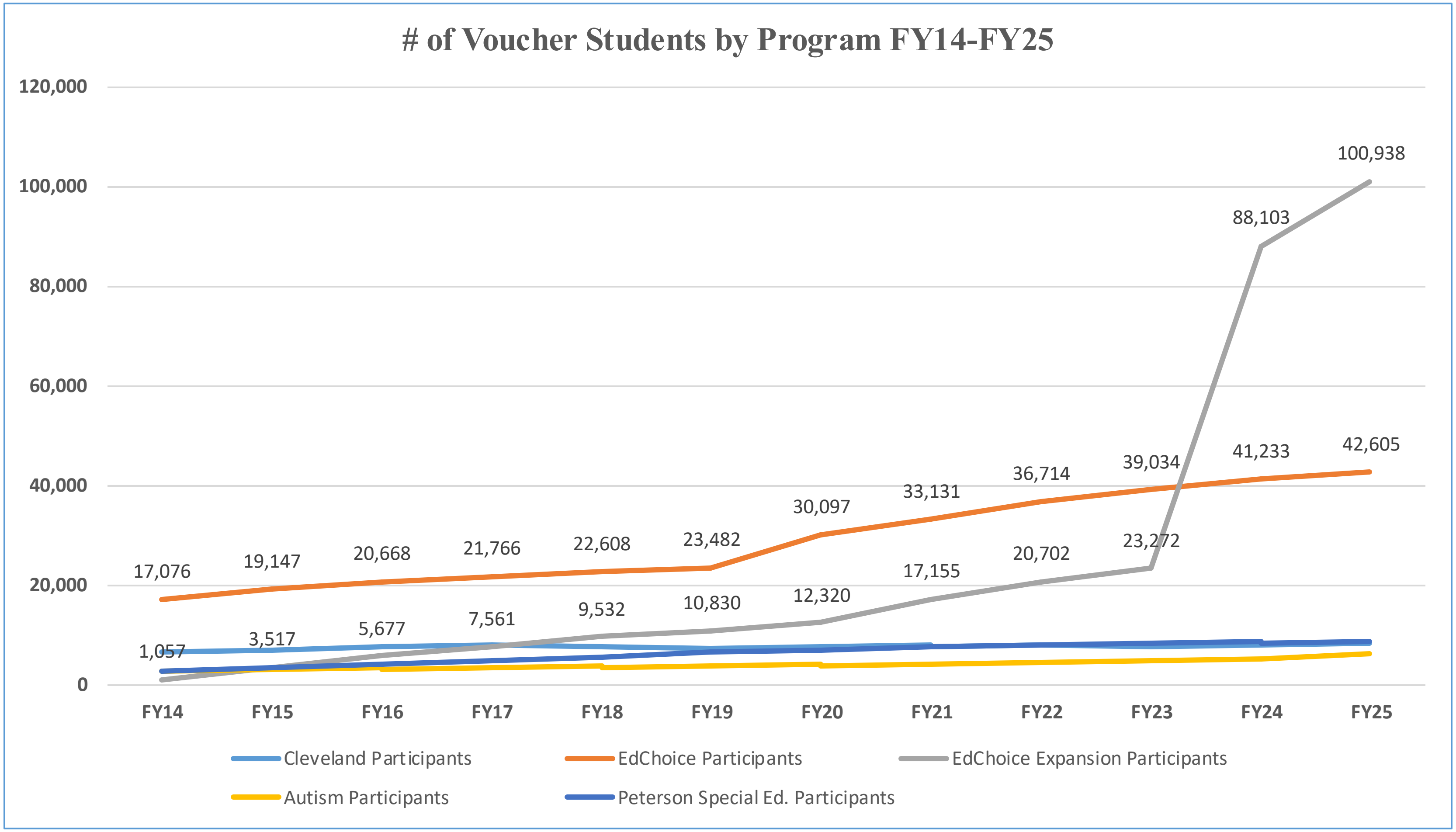
Recent EdChoice Voucher Changes

- In FY21 the K-8th grade EdChoice and EdChoice Expansion voucher amount was $4,650 per pupil. This amount was increased in FY22 (to $5,500) and again in FY24 (to $6,615). This is a 32.6% increase in 3 years.
- In FY21 the 9-12th grade EdChoice voucher amount was $6,000 per pupil. This amount was increased in FY22 (to $7,500) and again in FY24 (to $8,407). This is a 40.1% increase in 3 years.
- The requirement that students must have actually attended a low-performing public school in the year prior in order to be eligible to receive an EdChoice voucher has been phased out.
- In addition, siblings are now automatically eligible for an EdChoice voucher.
- Beginning in FY24 the income eligibility cutoff for the EdChoice Expansion voucher program (formerly 250% of the Federal Poverty Level) was eliminated. ***This effectively made all students eligible for an EdChoice Expansion voucher.***
- Students above 450% of the Federal poverty level do receive reduced EdChoice Expansion voucher amounts on a sliding scale.

Impact of Recent Voucher Changes

- After the elimination of the requirement that EdChoice students must have actually attended the low-performing public school in their neighborhood, the percentage of new EdChoice students who had not previously attended a public school declined significantly.
- Similarly, in FY24, the first year for which there was no income eligibility limit for the EdChoice Expansion program, 96% of all new EdChoice Expansion students were those who already attending private school in FY23.
- ***The changes to both EdChoice and EdChoice Expansion have significantly altered the focus of Ohio's 2 main voucher programs from providing additional educational options to lower income students & students attending low performing schools, to the state now paying for a private school education for those whose families have already demonstrated that they can already afford to do so themselves.***
- In FY24 the number of EdChoice Expansion students nearly quadrupled, increasing from 23,272 in FY23 to 88,103 students in FY24. EdChoice Exapnsion was responsible for 95.4% of the nearly 68,000 student increase in voucher students in Ohio from FY23 to FY24.
- ***Both the dramatic increase in the number of voucher students along with the significant increase in the voucher amounts themselves have led to a 79.5% increase in voucher costs since FY23.***
- The next 7 slides provide a summary of how voucher participation and costs have evolved over time for each of Ohio's 5 voucher programs.

Ohio Voucher Program Participation by Program, FY14-FY25



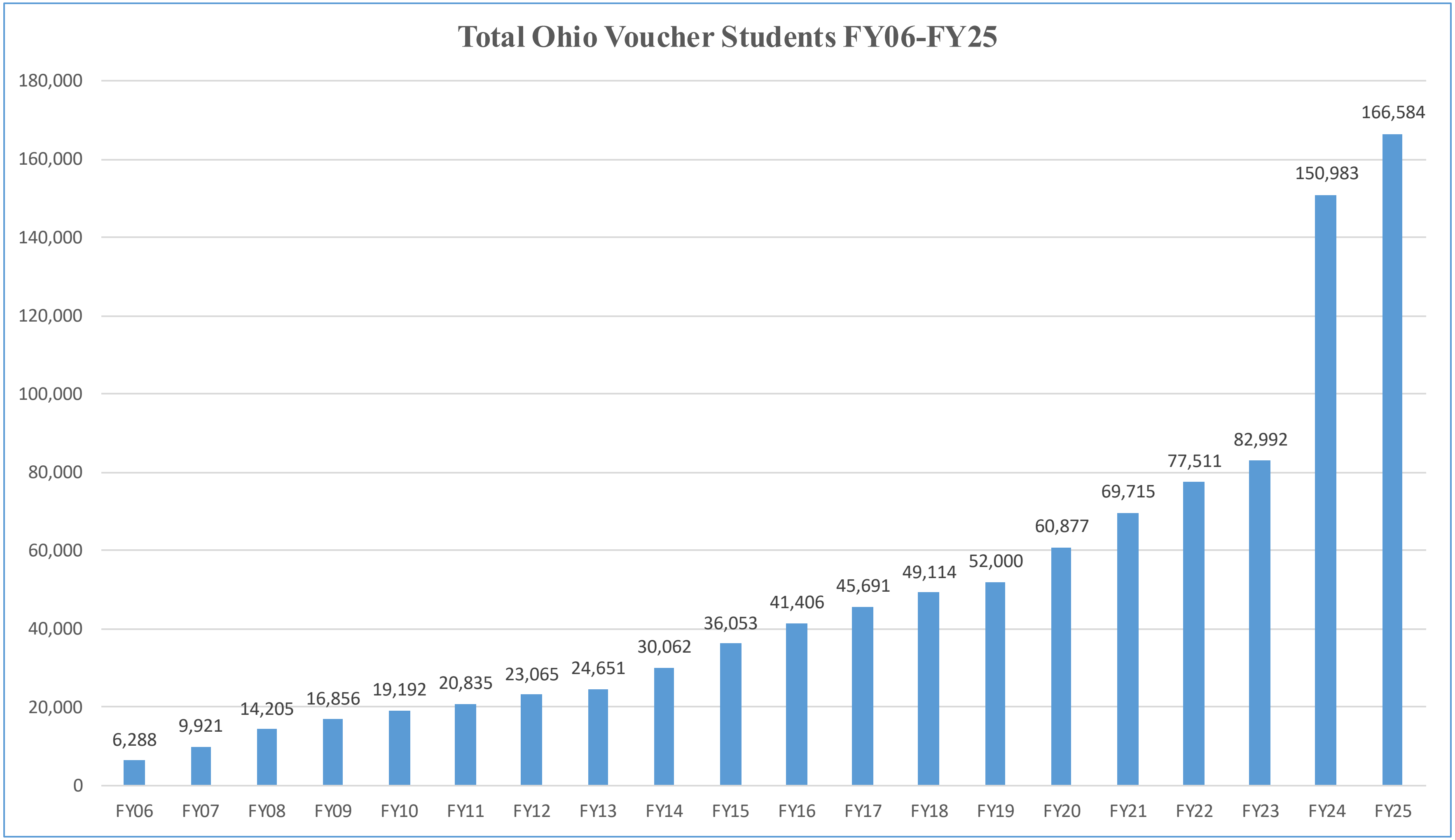
Source: Data from DEW Reports Portal Scholarships webpage

Ohio Voucher Program Participation by Program, FY14-FY25

Fiscal Year	Cleveland Participants	EdChoice Participants	EdChoice Expansion Participants	Autism Participants	Peterson Special Ed. Participants	All Voucher Participants
FY14	6,352	17,076	1,057	2,976	2,601	30,062
FY15	6,816	19,147	3,517	3,169	3,404	36,053
FY16	7,531	20,668	5,677	3,323	4,207	41,406
FY17	7,977	21,766	7,561	3,500	4,887	45,691
FY18	7,682	22,608	9,532	3,670	5,622	49,114
FY19	7,438	23,482	10,830	3,813	6,437	52,000
FY20	7,621	30,097	12,320	3,982	6,857	60,877
FY21	7,793	33,131	17,155	4,229	7,407	69,715
FY22	7,899	36,714	20,702	4,405	7,791	77,511
FY23	7,802	39,034	23,272	4,698	8,186	82,992
FY24	8,029	41,233	**88,103**	5,067	8,551	150,983
FY25	8,345	42,605	**100,938**	6,016	8,680	166,584
FY14-FY23 Increase	**1,450**	**21,958**	**22,215**	**1,722**	**5,585**	**52,930**
FY23-FY24 Increase	**227**	**2,199**	**64,831**	**369**	**365**	**67,991**
FY14-FY25 Increase	**316**	**1,372**	**12,835**	**949**	**129**	**15,601**

- Source: Data from DEW Reports Portal Scholarships webpage.
- * FY25 data is current as of November 2025.

Total Ohio Voucher Program Participation FY06-FY25



Source: Data from DEW Reports Portal Scholarships webpage and DEW historical voucher data

Ohio Voucher Program Trends in Participation and Expenditures

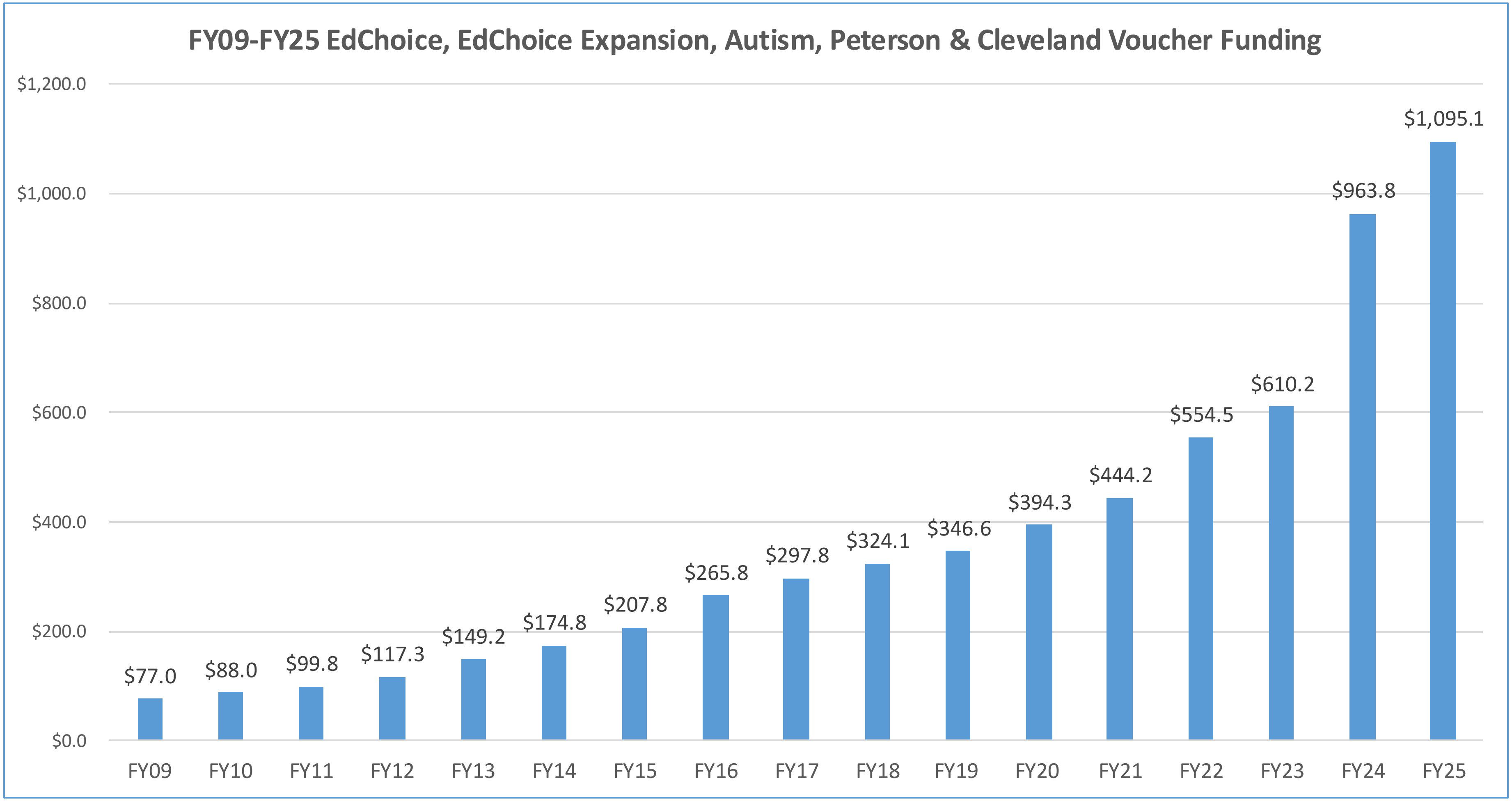
- The total number of students receiving vouchers in Ohio increased from 6,288 in FY06 (the year prior to the inception of EdChoice) to 82,629 students in FY23 and then jumped dramatically to 150,912 in FY24 as a result of the removal of the income limit on EdChoice Expansion.
- From FY14 to FY23 the EdChoice and EdChoice Expansion voucher programs were responsible for the bulk of the increase in voucher students, with EdChoice increasing by 21,894 students and EdChoice Expansion increasing by 22,067 students. However, 95.4% (64,882 of the 67,920) additional voucher students from FY23 to FY24 were due to the removal of the income limit for EdChoice Expansion.
- Similarly, the cost of Ohio's voucher programs increased from $20.5 million in FY06 (the year prior to the inception of EdChoice) to $610.2 million in FY23. The cost then increased by $351.8 million (57.7%) in FY24 to a total of $962.0 million in FY24. 79.8% ($280.8 million) of the FY23 to FY24 increase was attributable to EdChoice Expansion.
- Increases in the voucher amounts in FY22 and FY24 also contributed to increases in voucher costs in those 2 years.

Ohio Voucher Program Payments by Program, FY14-FY25

Fiscal Year	Cleveland Payments	EdChoice Payments	EdChoice Expansion Payments	Autism Payments	Peterson Special Ed. Payments	Total Voucher Payments
FY14	$28,093,675	$70,447,176	$3,774,035	$50,537,962	$21,974,525	$174,827,373
FY15	$30,618,098	$79,737,365	$13,016,145	$54,507,201	$29,899,745	$207,778,555
FY16	$34,290,456	$94,362,348	$22,393,227	$74,514,171	$40,235,262	$265,795,464
FY17	$36,805,629	$102,299,793	$30,854,588	$79,555,109	$48,329,305	$297,844,425
FY18	$37,360,805	$107,650,285	$39,004,781	$84,412,259	$55,742,267	$324,170,397
FY19	$37,215,447	$112,879,763	$44,574,099	$87,788,307	$64,105,165	$346,562,690
FY20	$38,195,609	$147,837,322	$50,926,831	$89,485,100	$67,796,952	$394,241,814
FY21	$38,942,438	$163,673,216	$72,313,294	$96,502,832	$73,039,813	$444,471,593
FY22	$46,014,315	$212,551,175	$102,935,946	$116,462,084	$76,568,073	$554,531,593
FY23	$46,135,526	$229,257,493	$124,418,775	$128,646,623	$81,773,729	$610,232,145
FY24	$53,378,781	$272,325,235	**$405,287,198**	$137,476,762	$95,348,512	**$963,816,488**
FY25*	$55,155,296	$283,137,080	**$492,857,370**	$160,018,883	$103,944,388	**$1,095,113,017**
FY14-FY23 Increase	**$18,041,851**	**$158,810,317**	**$120,644,740**	**$78,108,661**	**$59,799,204**	**$435,404,772**
FY23-FY24 Increase	**$7,243,256**	**$43,067,742**	**$280,868,423**	**$8,830,139**	**$13,574,783**	**$353,584,343**
FY24-FY25 Increase	**$1,776,514**	**$10,811,845**	**$87,570,173**	**$22,542,121**	**$8,595,876**	**$131,296,529**

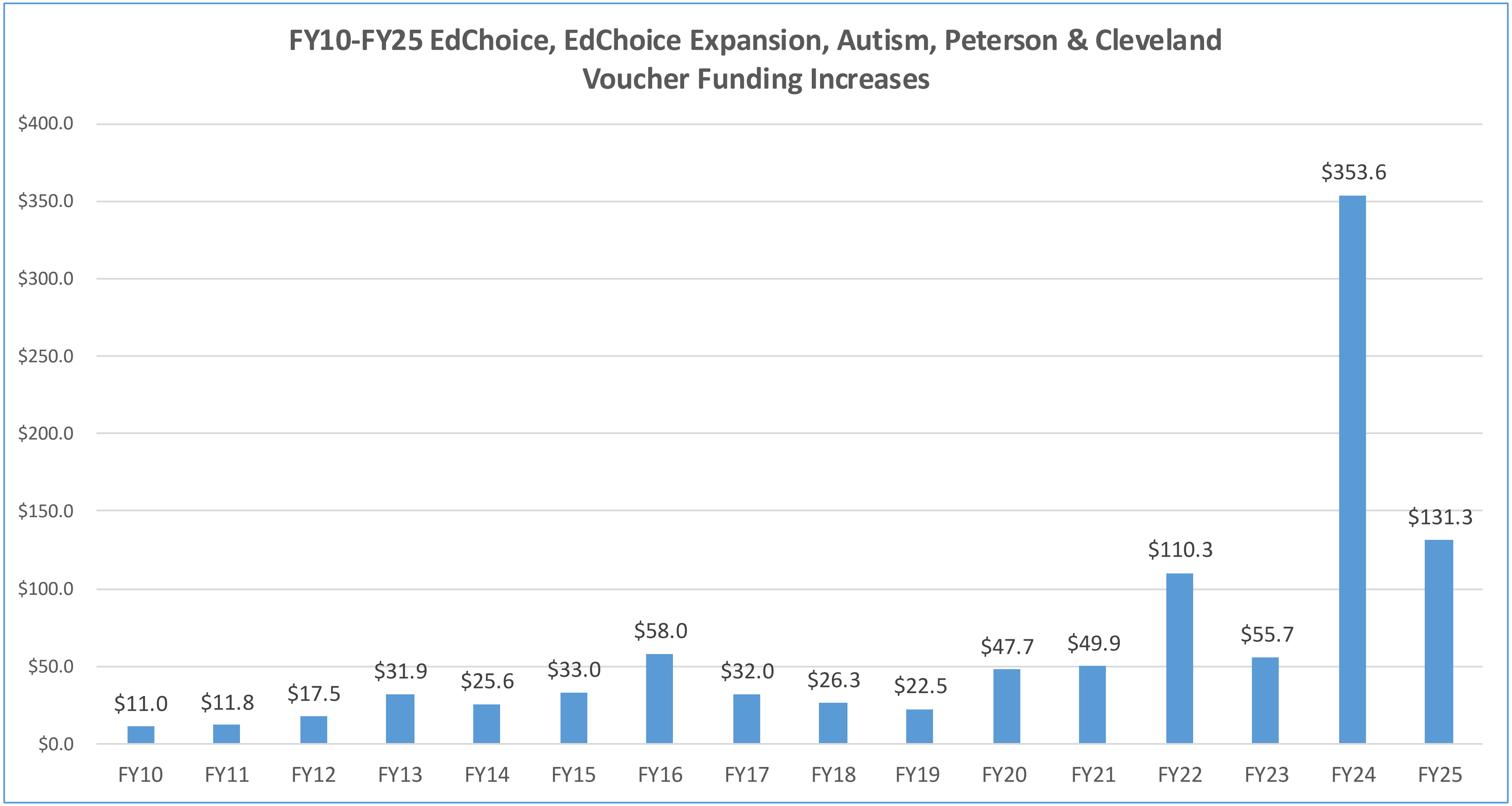
Source: Data from DEW Reports Portal Scholarships webpage.
* FY25 data is current as of November 2025.

Ohio Voucher Program Total Funding, FY09-FY25



Source: FY14-FY25 Data from DEW Reports Portal Scholarship Payments webpage
FY09-FY13 data from DEW historical voucher information no longer on DEW website

Ohio Voucher Program Annual Increase in Funding, FY10-FY25



Source: FY14-FY25 Data from ODE Reports Portal Scholarship Payments webpage
FY10-FY13 data from ODE historical voucher information no longer on ODE website

Ohio Community School Trends in Enrollment and Expenditures

- The Table on the following slide provides a summary of the number of community school students and the amount of state funding provided from their inception in FY99 through FY26. Since FY99 Ohio has spent nearly $19.6 billion on community schools, which have enrolled a total of nearly 2.5 million students.
- Community school enrollment peaked in FY14 at 128,393 students. Enrollment declined each year until FY19 when it reached 105,883 students, the lowest total enrollment since FY11.
- A prime reason for this enrollment decline was the scandal and eventual closure of ECOT, the state's largest online community school. From FY14 to FY20 E-school enrollment declined by almost half from 42,323 to 23,202.
- Both online and brick and mortar community school enrolment have increased since FY21. E-schools have typically accounted for 27%-30% of total community school enrollment.
- Community school funding is currently $1.3 billion in FY26.
- From FY20 to FY25 community school funding increased by $398.8 million. However, only 25% of this increase is due to the increasing number of students with the other 75% due to increases in funding levels from the FSFP.

Ohio Community School Funding, FY99-FY26

Fiscal Year	Total Comm. School + STEM School Funding	Total Community School ADM	Brick & Mortar Community School ADM	E-School Formula ADM	% E-School ADM	Avg. Comm. School Formula Funding Per Pupil
FY99	$10,985,022	2,817	2,817	0		$3,900
FY00	$51,658,903	12,655	12,655	0		$4,082
FY01	$91,199,488	17,794	16,015	1,779	10.0%	$5,125
FY02	$138,941,700	23,626	19,347	4,279	18.1%	$5,881
FY03	$203,733,492	33,978	25,660	8,318	24.5%	$5,996
FY04	$301,139,480	46,938	31,955	14,983	31.9%	$6,416
FY05	$421,736,138	62,603	44,653	17,950	28.7%	$6,737
FY06	$481,559,416	71,838	52,327	19,511	27.2%	$6,703
FY07	$530,582,459	76,932	55,557	21,375	27.8%	$6,897
FY08	$584,929,196	82,643	58,818	23,825	28.8%	$7,078
FY09	$646,504,551	88,536	61,365	27,171	30.7%	$7,302
FY10	$680,444,828	93,699	64,455	29,244	31.2%	$7,262
FY11	$723,280,663	99,844	66,838	33,006	33.1%	$7,244
FY12	$776,614,608	108,448	70,867	37,581	34.7%	$7,161
FY13	$829,471,483	116,039	75,970	40,069	34.5%	$7,148
FY14	$909,845,457	128,393	86,070	42,323	33.0%	$7,086
FY15	$941,432,082	121,875	82,989	38,886	31.9%	$7,725
FY16	$941,149,611	119,272	81,397	37,875	31.8%	$7,891
FY17	$913,024,294	113,302	80,328	32,974	29.1%	$8,058
FY18	$881,083,648	107,538	81,394	26,144	24.3%	$8,193
FY19	$871,953,618	105,883	82,036	23,847	22.5%	$8,235
FY20	$871,560,828	110,229	86,927	23,302	21.1%	$7,907
FY21	$954,157,884	117,636	83,600	34,036	28.9%	$8,111
FY22	$1,004,468,799	115,089	83,044	32,045	27.8%	$8,728
FY23	$1,025,739,082	115,879	84,362	31,516	27.2%	$8,852
FY24	$1,190,357,612	120,727	87,620	33,108	27.4%	$9,860
FY25	$1,270,355,787	122,991	87,745	35,246	28.7%	$10,329
FY26	$1,310,334,338	123,191	90,543	32,648	26.5%	$10,637
Total	**$19,558,244,468**	**2,460,394**	**1,757,354**	**703,040**	**28.6%**	**$7,949**

Source: Data from ODE/DEW SFR-3, PASS & SFPR Reports

Part III: Ohio's Property Tax Crisis: Causes and Underpinnings

Ohio Property Tax Overview

Ohio is currently in the midst of what appears to be a property tax revolt. Despite the presence since 1976 of HB 920, one of the most stringent property tax limitation mechanisms in the country, many Ohio homeowners have recently experienced large and unexpected increases in their local property tax bills. The main reasons for this are as follows:

1. Ohio funds and delivers more services at the local level than is true in other states. This means that Ohio will typically be in the top third of local taxes and the bottom third of state taxes, with Ohio placing in the middle nationally on state + local taxes

2. State policy changes have caused the **burden of property taxes to shift away from business and towards homeowners and farmers**. This shift has coincided with per capita income in Ohio falling below the national average.

3. **State tax revenues have failed to keep pace with inflation** which in turn has created more pressure on local governments to pick up the slack.

4. Ohio has recently experienced **historically large increases in home values** which have led to HB 920 not working as effectively as in prior years.

5. Ther has been **a dramatic increase in the number of school districts at the 20 mill floor**, which has also undermined the effectiveness of Hb 920 in controlling property tax increases.

OEPI Property Tax Analysis

- In September OEPI released an analysis of Ohio property taxes conducted by myself and former State Budget Director Greg Browning. This report can be found on the OEPI website at: http://www.oepiohio.org/index.php/ohio-school-levy-data/property-tax-research/analysis-of-residential-property-taxes-in-ohio-a-balanced-approach-to-reform/

Among the findings in the report are:

- State tax revenue growth has not kept pace with inflation. From 2005 through 2025 state revenues grew 48.3% while inflation was 66.5%.
- Comparing Ohio nationally, based on 2022 data (the most current year available), **Ohio ranks 43rd in state taxes per capita and 44th in state taxes as a percentage of personal income** (the highest tax state is ranked 1st and the lowest is ranked 50th).
- In contrast, Ohio currently ranks 8th highest in property taxes.
- Pertaining to education funding, in 2002 Ohio ranked 35th nationally in the state share of K-12 funding and was 4.6 percetnage points below the national average.
- However, in 2023 Ohio had fallen to 45th nationally and was 11.2 percentage points below the national average.
- Similarly, Ohio has fallen from 24th nationally in 2002 in state K-12 revenue per pupil to 41st in 2023.
- Over the same timeframe, Ohio has fallen from 15th nationally in per pupil K-12 education spending to 20th.

Ohio Property Tax Reappraisal Analysis

- Recent Ohio property reappraisal increases have been far outside historical norms.
- The ***2023 reappraisal and update increase was 7.3 times as large as the prior reappraisal and update increase for the same counties in 2017***, while the 2024 increase was ***4.6 times*** as large as the increase in 2018 and the 2022 reappraisal increase was ***4.0 times*** as large as the increase in 2016.
- These historically large reappraisal increases have resulted in large increases in property taxes for many homeowners, despite the presence of HB 920 (passed in 1976) which was designed to limit such increases. Tax increases can occur due to:
    1. **Inside millage** (generally less than 10-15% of a typical homeowner's property tax bill)
    2. **A particular property increasing in value at a much higher than the average** in the property owner's community
    3. Living in a school district at the **20 mill floor**
- However, as the next 4 slides clearly indicate, these recent large increases in housing values are best viewed as a historically anomalous short-term issue and, as such, remedies to alleviate property tax burdens should consider that.

Property Reappraisal Analysis 2024 Counties

Year	Class I Residential & Agricultural Reappraisal Increase	Class I Residential & Agricultural Total Valuation in Prior Year	Reappraisal Increase as Percentage of Prior Year Class I Value
2003	$5.457 Billion	$47.688 Billion	11.4%
2006	$6.219 Billion	$56.302 Billion	11.0%
2009	-$3.823 Billion	$64.864 Billion	-5.9%
2012	-$4.545 Billion	$61.410 Billion	-7.4%
2015	$2.591 Billion	$57.382 Billion	4.5%
2018	$5.255 Billion	$60.994 Billion	8.6%
2021	**$10.237 Billion**	**$67.917 Billion**	**15.1%**
2024	**$24.390 Billion**	**$80.785 Billion**	**30.2%**

Property Valuation data is from the Ohio Department of Taxation. Calculations by OEPI.

Property Reappraisal Analysis 2023 Counties

Year	Class I Residential & Agricultural Reappraisal Increase	Class I Residential & Agricultural Total Valuation in Prior Year	Reappraisal Increase as Percentage of Prior Year Class I Value
2005	$10.178 Billion	$81.975 Billion	12.4%
2008	$1.968 Billion	$97.796 Billion	2.0%
2011	-$5.301 Billion	$100.788 Billion	-5.3%
2014	$2.892 Billion	$95.922 Billion	3.0%
2017	$5.963 Billion	$100.563 Billion	5.9%
2020	$13.519 Billion	$109.168 Billion	12.4%
2023	**$44.058 Billion**	**$127.095 Billion**	**34.7%**

Property Valuation data is from the Ohio Department of Taxation. Calculations by OEPI.

Property Reappraisal Analysis 2022 Counties

Year	Class I Residential & Agricultural Reappraisal Increase	Class I Residential & Agricultural Total Valuation in Prior Year	Reappraisal Increase as Percentage of Prior Year Class I Value
2004	$1.289 Billion	$16.928 Billion	0.9%
2007	$1.730 Billion	$19.522 Billion	8.9%
2010	-$0.204 Billion	$21.929 Billion	-0.9%
2013	$0.649 Billion	$18.850 Billion	3.4%
2016	$1.502 Billion	$19.057 Billion	7.9%
2019	$2.381 Billion	$25.379 Billion	9.4%
2022	**$6.319 Billion**	**$28.645 Billion**	**22.1%**

Property Valuation data is from the Ohio Department of Taxation. Calculations by OEPI.

Property Reappraisal Analysis 2003-2024

Year	Class I Residential & Agricultural Reappraisal Increase	Class I Residential & Agricultural Total Valuation in Prior Year	Reappraisal Increase as Percentage of Prior Year Class I Value
2003	$5.457 Billion	$47.688 Billion	11.4%
2004	$1.289 Billion	$16.928 Billion	0.9%
2005	$10.178 Billion	$81.975 Billion	12.4%
2006	$6.219 Billion	$56.302 Billion	11.0%
2007	$1.730 Billion	$19.522 Billion	8.9%
2008	$1.968 Billion	$97.796 Billion	2.0%
2009	-$3.823 Billion	$64.864 Billion	-5.9%
2010	-$0.204 Billion	$21.929 Billion	-0.9%
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2019	$2.381 Billion	$25.379 Billion	9.4%
2020	$13.519 Billion	$109.168 Billion	12.4%
2021	**$10.237 Billion**	**$67.917 Billion**	**15.1%**
2022	**$6.319 Billion**	**$28.645 Billion**	**22.1%**
2023	**$44.058 Billion**	**$127.095 Billion**	**34.7%**
2024	**$24.390 Billion**	**$80.785 Billion**	**30.2%**

Number of Districts at the 20 Mill Floor, 2002-2024

Year	# of Districts at Class 1 20 Mill Floor	# of Districts at Class 2 20 Mill Floor	# of Districts at Class 1 OR Class 2 Floor
2001	277	131	287
2002	278	124	293
2003	290	117	306
2004	298	129	310
2005	330	165	347
2006	311	150	326
2007	305	135	319
2008	299	128	331
2009	177	80	212
2010	166	66	187
2011	165	54	177
2012	**105**	**44**	**122**
2013	158	42	171
2014	215	45	223
2015	205	41	211
2016	235	56	241
2017	165	58	182
2018	168	59	186
2019	207	67	224
2020	249	69	272
2021	279	75	293
2022	**343**	**108**	**352**
2023	**409**	**172**	**420**
2024	**381**	**172**	**400**

Millage Rate data is from the Ohio Department of Taxation. 20 Mill Floor calculations by OEPI.
Floor considered to be < 20.01 mills.

20 Mill Floor Discussion

- Ohio law does not allow a school district to have less than 20 mills of property taxation for K-12 operating purposes in place. This provision is commonly known as the "20 mill floor".
- The previous slide shows that the number of districts at the 20 mill floor increased each year from 2017 through 2024.
- In 2023 OEPI calculated that 409 school districts (66.9% of all districts) were at the 20 mill floor for Class 1 residential and agricultural property. (Note that OEPI defines a district to be at the 20 mill floor if floor millage is less than 20.01 mills). This was the largest number of districts at the 20 mill floor as far back as my data goes.
- 2024 data indicates that 381 districts are now at the 20 Class 1 mill floor.
- A school district can be at the 20 mill floor for the following reasons:

  1) It only has 20 authorized operating mills in place (< 20 districts).

  2) It has more than 20 authorized operating mills, but HB 920 has worked over time to lower effective millage to 20 mills (i.e. at the 20 mill floor by "natural causes")

  3) The district has emergency and/or substitute levies which do not count against the 20 mill floor but allow effective millage rates to be above 20 mills. *190 of the 381 districts at the 20 mill floor in 2024 have emergency or substitute millage in place*.
- ***Taxpayers in districts at the 20 mill floor will experience the "full" increase in their property taxes when their property values rise due to reappraisal because HB 920 is prevented from lowering millage rates in response to the valuation increase.***

Percent of Total School Property Taxes by Type of Property, 1975-2024

Type of Property	1975	1983	1991	1999	2007	2011	2015	2024
Class 1 Real % Taxes	**46.1%**	47.1%	**47.5%**	52.4%	65.0%	69.9%	69.0%	**67.9%**
Class 2 Real % Taxes	18.8%	18.6%	20.4%	20.3%	22.3%	24.3%	23.7%	20.7%
Total TPP % Taxes	35.1%	34.4%	32.1%	27.3%	12.7%	5.7%	7.3%	11.4%
Business TPP % Taxes	23.2%	22.3%	19.2%	17.7%	8.0%	0.0%	0.0%	0.0
PU TPP % Taxes	11.9%	12.0%	13.0%	9.6%	4.7%	5.7%	7.3%	11.4%
Total Business Property % Taxes	**53.9%**	52.9%	**52.5%**	47.6%	35.0%	30.1%	31.0%	**32.1%**

Data from Ohio Department of Taxation. Calculations made by OEPI. See OEPI Ohio Property Yax Trends Report

Part IV: Overview of Property Tax Policy Proposals to Address Increasing Property Taxes

Policy Options for Addressing the Impact of Increasing Property Tax Burdens

Over the last 2 years Ohio policy makers have floated a wide variety of proposals – both outside and in the FY26-27 biennial budget - for addressing the impact of higher property taxes resulting from the recent spike in residential property values. These ideas include:

- **Property tax "circuit breaker"** – a property tax circuit breaker targets property tax relief to eligible residents by limiting their property taxes to a specified level. SB 271 (Blessing 2024) featured a circuit breaker modeled after Michigan's which targeted property tax relief to households (both homeowners and renters) with incomes at or below $60,000 and and whose property taxes were more than 5% of their income. At least 14 other states currently have property tax circuit breakers designed in this manner. The estimated cost was $820 million annually - $520 million for homeowners and $300 million for renters.
- **Expand Existing Homestead Exemption** – This is the easiest solution and would simply increase eligibility and/or make more generous the state's current homestead exemption which exempts the first $28,000 of a home's market value from taxation. Eligibility is limited to those 65 and older or permanently disabled with incomes of $40,000 or less.
- **Constitutional Amendment Capping Property Tax Increases** – HJR 6 (2024) would have capped property tax increases at 4% per year and is an idea that sounds better in concept than it really is. Limiting property taxes increases to a fixed % in a given year fails to take into account the ongoing need for local levies by schools and Ohio's other local govts. - a need largely caused by HB 920's rolling back of millage rates. This approach also fails to account for the fact that Ohio reappraises (or statistically updates) property values every 3 years, not every year as many states do. Thus, a cap of 4% would really only allow growth of 1.33% per year.

More Policy Options for Addressing the Impact of Increasing Property Tax Burdens

- **HB 129 (2025): Including Emergency and Substitute Levies in the 20 Mill Floor Calculation** – Including emergency and substitute levies in the floor calculation would raise districts using these levies off the 20 mill floor at their next property reappraisal or update. SB 66 also included the millage equivalent of school districts income taxes in the 20 mill floor calculation which is completely inappropriate. This idea also sounds more effective than it actually would be. As mentioned earlier only 190 of the 381 school districts at the Class 1 20 mill floor in 2024 have emergency or substitute levies. This of course means that 191 of the 381 floor districts (50.1%) do <u>not</u> have emergency millage. Thus, ***simply including emergency millage in the 20 mill floor calculation would not help taxpayers in half of the districts at the floor***.
- **HB 186 (2025) Inflationary Limit on Tax Revenue Growth for Districts at the 20 Mill Floor**– this idea, would limit growth in districts at the 20 mill floor to inflation measured over the 3 years since their last reappraisal or update.
- **HB 335 (2025) Elimination of Inside Millage** – This idea, which I spent more than 30 years thinking was beyond the purview of the legislature, was floated in early June. Inside millage amounts to $3.961 billion across all local governments, of which $1.991 billion goes to K-12 school districts.
- **HB 335 (2025) Inflationary Cap Inside Millage** – This proposal would apply the same inflationary cap as HB 186 to inside millage for schools and other local governments.

Yet More Policy Options for Addressing the Impact of Increasing Property Tax Burdens

- **HB 96 Cash Balance Cap** – First introduced by the House in the FY26-27 budget bill, this proposal would “clawback” property taxes in school districts whose cash balance exceeds a specified % of their operating expenditures. This would be tremendously destabilizing to school districts, confusing to taxpayers and would largely provide only one-time tax relief.
- **HB 96 Empowerment of county budget commissions to reduce millage** – This would allow budget commissions to reduce the millage on any voter-approved levy (except for bond issues) based on their judgment that the levy is “unnecessary, excessive, or unneeded”. Would be destabilizing to schools and other local governments.
- **HB 96 “Piggyback” Homestead Exemption and 2.5% rollback** – allow county commissioners to double these 2 existing tax credits *with no state reimbursement to local governments* (as is the case with the existing homestead exemption and 2.5% rollback).
- **Constitutional Amendment to Eliminate Ohio’s Property Tax** – This initiative, started by a group of disgruntled taxpayers in Northeast Ohio, is gathering the signatures required to get this proposal on the ballot in November 2026. In 2024 total property taxes in Ohio were $23.9 billion, almost as much as the revenue collected by the state sales tax and income tax combined.
- **Lowering or Repealing the 20 Mill Floor** – While not included in any legislation currently under consideration, this idea has been mentioned in the course of testimony on various bills the last 2 years. Lowering or eliminating the 20 mill floor would have a profound negative impact on Ohio school districts and would severely undermine the state and local share mechanism in the foundation formula.

Part V: Property Tax Policy Proposals in the FY26-27 State Budget (HB 96)

Carryover Cash Balance Cap

- The cash balance cap was first introduced in the House version of the budget requiring the county budget commission to reduce current expense property taxes for the following year by the amount necessary to reduce each districts carryover cash balance to 30% of operating expenses.
- Under the House proposal 478 districts above the 30% threshold would stand to lose $3.73 billion in property tax revenue based on Fall 2025 cash balance projections.
- The Senate modified this provision by raising the threshold to 50% and exempting permanent improvement expenses from the threshold calculation. 258 districts have an FY25 cash balance above 50% and would stand to lose $1.361 billion in tax revenue.
- Conference Committee further modified this provision by establishing a threshold of 40%. **370 districts have an FY25 cash balance above 40% and would stand to lose $2.273 billion in tax revenue.** In most cases this would initially be a one-time reduction, however, **the confusion for taxpayers and destabilization for school districts of operating right at the cash balance threshold would be ongoing.**
- The Conference Committee version also provided for a sliding scale to reduce the impact of the cap for districts whose cash balances are below $10 million. Districts with cash balances less than $2 million would see zero reduction, between $2 and $4 million would see a 25% reduction, between $4 and $6 million would receive a 50% reduction, and between $6 and $10 million would receive a 75% reduction.
- Along with a provision exempting certain low spending school districts, **$106 million in tax reductions are averted due to the sliding scale, reducing the impact to $2.167 billion**.
- **The Governor vetoed the cash balance cap provision** and it has not been overridden by either the House or the Senate.

Inclusion of Emergency and Substitute Levies in the 20 Mill Floor Calculation

- The Senate version of the budget included a provision that emergency and substitute levies be included in the calculation of the 20 mill floor (and 2 mill floor for JVSDs).
- Conference Committee retained this provision and also included incremental growth levies, conversion levies, and the property tax portion of combined income tax and property tax levies in the floor calculation.
- This provision would take effect beginning with taxes paid in 2026 and would occur as each district goes through its next reappraisal or triennial update.
- As mentioned earlier, OEPI calculates that 190 of the 381 districts currently at the Class I 20 mill floor have emergency and/or substitute levies in place.
- In the HB 129 Fiscal Note LSC estimates that **by tax year 2028 237 districts** will be impacted by this provision and are estimated to see a **property tax revenue reduction of $127 million**.
- LSC notes that this tax loss is due to a reduction in the growth of school district's property taxes and it does not cause actual negative growth for any district (i.e. districts won't get less tax revenue than they have currently, but will not receive as much growth as if they were still at the 20 mill floor). The loss in growth will be ongoing until the district returns to the 20 mill floor, which for many districts may take many years (if ever). The next slide provides an example of the mechanics of this change.
- **The Governor vetoed this provision**, and it has not been overridden by the House or the Senate.

Example of Including Emergency and Substitute Levies in the 20 Mill Floor Calculation

Millage Type	2025	2026 Current Law 10% Reappraisal Increase	2026 20 Mill Floor Change
Inside Mills	4.0	4.0	4.0
Effective Voted Mills	16.0	16.0	**14.4**
Emergency Mills	5.0	4.5	4.5
Total Operating Millage	**25.0**	**24.5**	**22.9**

- The table above provide a simple example which shows how the inclusion of an emergency levy in the 20 mill floor calculation lowers tax revenues.
- Currently the district has 25 effective Class 1 operating mills but is at the 20 mill floor because 5 of those mills are from an emergency levy.
- Under current law, if the district experiences a 10% increase in Class 1 property values due to reappraisal (and there is no new construction) the emergency levy will be reduced to 4.5 mills because it cannot raise any more than the fixed sum of revenue currently raised at 5 mills.
- However, under current law, the district is at the 20 mill floor, so inside millage and effective class 1 voted mills remain at 4 and 16 (a total of 20), leaving their effective millage at 24.5 mills.
- Under the 20 Mill floor definition change, however, the current 16 voted mills will be reduced to 14.4 because the district is now above the 20 mill floor due to the 5 emergency mills counting. This the district's millage is reduced to 22.9 mills, which is how the district loses future tax revenue.

County Budget Commission Authority

- The Senate version of the budget inserted a provision which allows **"county budget commissions (CBCs) to reduce millage on any voter-approved tax levy aside from a debt levy if the commission finds it reasonably prudent to avoid unnecessary, excessive or unneeded property tax collections."**
- This provision would apply to schools and all other local governments that have voted levies in place.
- Conference Committee added several provisions relating to "tax budgets", including one which requires local governments to submit a stated intent to collect increased revenue due to inside millage or the 20 mil floor.
- While CBCs in theory already have authority to not fully collect property taxes, in practice it is rarely exercised. Including this provision in the budget makes it far more likely that this authority will be exercised, which is problematic in several ways.
- Apart from the reduced revenue collections, it is profoundly anti-democratic to allow the 3 person CBC to substitute their judgment for that of a majority of voters who have approved the levies in question (not to mention that these very same levies required approval by the … yes… very same CBC to get on the ballot in the first place.
- Furthermore, more than half of Ohio's school districts overlap into more than one county. Voters who live in a county that is not the "primary" county of the school district are unable to vote for the members of the CBC who would now have authority over their taxes and public services.
- **The Governor vetoed the CBC authority to reduce millage on voted levies**, and it has not been overridden by ether the House or the Senate. .

“Piggyback” Property Tax Exemptions

- The Homestead Exemption was first enacted in 1971. It provides a property tax credit to eligible homeowners equal to the taxes charged on $28,000 in assessed value of their property ($9,800 of taxable value). Essentially the first $28,000 in home value is exempt from taxation. You must be over 65 with an income less than $40,000 or permanently disabled to qualify.
- The 2.5% “owner occupancy” tax credit was first instituted in 1979. It applies to a dwelling unit if occupied by the owner, plus up to one acre of land.
- The “lost” tax revenue from both of these credits are currently reimbursed to schools and local governments by the state.
- Conference committee inserted a provision to allow county commissioners to double (i.e. “piggyback”) these 2 existing tax credits, benefitting eligible taxpayers but *with no state reimbursement to local governments*. Counties must have voted to implement the piggyback by October 31st of this year.
- In 2024 total school operating taxes on residential property was roughly $8.65 billion. 2.5% of this total is **$216 million which would be the potential revenue loss if all counties exercised the piggyback authority on the 2.5% rollback** (which is unlikely).
- **This provision was <u>not vetoed</u> by the Governor** and is now part of the Ohio Revised Code.

Elimination of Property Tax Levy Options

The Senate version of the budget inserted a provision to eliminate the following levy types:

- Replacement levies for all political subdivisions
- School district fixed sum emergency levies
- School district fixed sum substitute levies
- Combined school district income tax and fixed sum levies

- November 2025 would be the last opportunity to place these levies on the ballot.
- Elimination of property tax levy options was not included in my earlier list of property tax policy options for reducing tax burdens. This was not an oversight, but rather eliminating replacement, emergency and substitute levies will not do anything to help homeowners with rising tax bills. The motivation for their elimination appears to be a belief that these levy types are confusing or even "deceptive" to voters.
- Prior discussions to sunset school emergency and substitute levies came with assurances that a new "school fixed sum" levy option would be created so that these levies could be renewed but voters would not be led to think there was an actual "emergency".
- However, this option was not in fact included in the budget and **districts will be required to place a new current expense levy on the ballot to take the place of an expiring emergency or substitute levy. This not only will increase confusion for voters, not reduce it, but it also would raise taxes by removing the 10% rollback and 2.5% owner occupied credit.**
- The Governor vetoed the elimination of these levies, however, **this veto was overridden in the House on July 21st and in the Senate on October 1st.**
- **However, HB 129 has modified the how this would work and is currently in the Senate.**

Part VI: Property Tax Policy Proposals Post-State Budget

Governor's Property Tax Working Group

- In the aftermath of the budget, the Governor created a new property tax study committee co-chaired by former state Legislator Bill Seitz and former U.S. Congressman Pat Tiberi. The group's first meeting was held on July 24^{th} 2025 with a final report issued at the last meeting on September 30^{th}.
- The working group included 3 County Commissioners, 2 County Auditors, 2 County Treasurers, 2 school Superintendents and and one Mayor.
- The final report detailed 20 recommendations. These recommendations included:
- **Limit carryover balances <u>for all government entities to 100%</u>** of current spending while providing an opportunity for any entity exceeding 100% to justify the need for the excess balance.
- **Implement the HB 186 inflationary cap on revenue growth in 20 mill floor districts <u>on a prospective basis beginning in tax year 2025</u>.**
- Amend HB 186 so that the **<u>inflationary cap also applies to inside millage</u>**.
- **Rename emergency and substitute levies as "fixed sum" levies and <u>allow their renewal and preserve the 12.5% rollback</u>**.
- **Count emergency and term-limited substitute levies towards the 20 mill floor <u>upon their next renewal, and continuing substitute levies towards the floor after 5 years</u>.**
- **<u>Consider expanding the Homestead Exemption program and/or implementing a Property Tax Circuit Breaker</u>.**

Where Do We Stand Now?

1. HB 186 Inflationary Limit on Tax Revenue Growth in 20 Mill Floor Districts

- In September this was modified by the House to **retroactively apply the inflationary cap to school districts who went through reappraisal or update in 2023 or 2024**.
- Property taxpayers in these districts would be issued a credit which would apply to their 2025 property tax bills (payable in calendar year 2026) as if the inflationary cap had been enacted in either 2023 or 2024.
- Districts and taxpayers in counites going through reappraisal or update in 2025 would be impacted on a prospective basis with property tax increases limited to inflation as the bill originally intended.
- LSC estimates showed that the cost of the retrospective application of HB 186 to the 2023 and 2024 reappraisal districts would be over $300 million annually.
- An amended version of HB 186 was passed by the House on Oct. 22nd which provided **$463 million in funding for traditional districts and JVSDs to hold harmless all 2023 and 2024 reappraisal/update districts against 2024 property tax revenue until their next reappraisal or update.** 2023 reappraisal districts held harmless in Tax Year 2025, and 2024 reappraisal districts held harmless in both TY25 and TY26.
- Note some districts are forecast to experience a reduction (total of roughly $50 million) in property tax revenue compared to TY24 at their next reappraisal.
- **HB 186 was passed by the House on October 8th and is now in the Senate.**

Where Do We Stand Now?

2. HB 129 Include Emergency & Substitute Levies in 20 Mill Floor Calculation and Restrict their Renewal

- The FY26-27 biennial budget included a provision that emergency and substitute levies, along with incremental growth levies, conversion levies, and the property tax portion of combined income tax and property tax levies be included in the calculation of the 20 mill floor (and 2 mill floor for JVSDs).
- This provision would take effect beginning with taxes paid in 2026 and would take effect as each district goes through its next reappraisal or triennial update.
- **Governor DeWine vetoed this provision, however, both the House and Senate overrode the veto.**
- The FY26-27 budget also called for the elimination of emergency and substitute fixed sum levies. Districts would need to place a new current expense levy on the ballot to take the place of an expiring emergency or substitute levy. *However, these levies would be considered to be "new" levies and would raise taxes on residents by not being eligible for the 10% rollback and 2.5% owner occupied credit.*
- **HB 129 would allow for a one-time 5 year renewal of an expiring emergency levy as a "fixed sum" levy. It would also allow districts in fiscal caution, watch and emergency to levy a one-time, 5 year maximum, new fixed sum levy.**
- **HB 129 was passed by the House on October 8th and is now under consideration by the Senate.**

Where Do We Stand Now?

3. HB 335 Apply Inflationary Cap to Inside Millage after Reappraisal or Update

- Under HB 335 County Budget Commissions (County Auditor, County Treasurer and County Prosecutor) are required to limit the growth in tax revenue from inside millage to inflation after property reappraisal or update.
- The provision applies to all jurisdiction with inside millage, *<u>and the reduction would occur by lowering the millage rate of the inside mills for each jurisdiction</u>*.
- The millage rate reductions would only occur in a reappraisal or update year, and tax revenue would be allowed to grow due to new construction in addition to inflation (as measured by the GDP deflator).
- The inside millage inflationary cap would would first take effect in Tax Year 2026.
- Because inside millage will be reduced this will have implications for the calculation for the 20 mill floor.
- **HB 335 was passed by the House on October 22nd and is now under consideration by the Senate.**

Where Do We Stand Now?

4. HB 309 County Budget Commission Authority

- The FY26-27 budget included a provision which allows "county budget commissions (CBCs) to reduce millage on any voter-approved tax levy aside from a debt levy if the commission finds it reasonably prudent to avoid unnecessary, excessive or unneeded property tax collections." This provision applies to voted levies by all jurisdictions, however school district millage cannot be reduced to take a district below the 20 mill floor unless so requested by the district.
- Governor DeWine vetoed the provision, and it has not been overridden by ether the House or the Senate.
- The Governor's Property Tax Working Group recommended modifications to this provision which provided definitions of what "unnecessary" and "excessive" mean and also recommended limiting the CBC's reviews to new levies after the first 5 years and renewal levies after the first 2 years.
- HB 309 makes the changes recommended by the Governor's working group.
- **HB 309 was passed by the House on October 8th and is now under consideration by the Senate.**

Where Do We Stand Now?

5. Constitutional Amendment to Repeal the Property Tax

- As mentioned earlier, Ohio’s local property tax generates nearly $24 billion in revenue annually – more than the state sales tax and income tax combined.
- Repeal of the property tax would be devastating not just to public schools, but to services for developmental disabilities, alcohol, drug addiction & mental health, senior services, children's services, police & fire protection, road maintenance, ambulance and EMS, and many other essential services provided at the local level in Ohio.
- Spokespersons for the initiative have repeatedly stated that they consider the policy options discussed above to be insufficient and have no intention of halting their collection of the signatures necessary to appear on the ballot in November 2026.
- While there has not yet been any public discussion, it is possible that the legislature could place a competing constitutional amendment addressing property taxes on the ballot next November as well.

Comparison of Property Tax Proposals: 20 Mill Floor District with 20% Reappraisal Increase & 10% Inflation

Millage Type	2025	2026 Current Law 20% Reappraisal Increase	HB 186 20 Mill Floor Inflationary Cap (10%)	HB 335 Inside Millage Inflation Cap + HB 186	HB 129 20 Mill Floor Change (HB 920)	HB 335 + HB 129 20 Mill Floor Change
Inside Mills	4	4	4	**3.67**	4	**3.67**
Effective Voted Mills	16	16	**14.67**	**14.67**	**13.33**	**13.33**
Emergency Mills	5	**4.17**	**4.17**	**4.17**	**4.17**	**4.17**
Total Operating Mills	**25**	**24.17**	**22.84**	**22.51**	**21.5**	**21.17**
Tax Revenue	**$250,000**	**$290,000**	**$274,000**	**$270,000**	**$258,000**	**$254,000**
% Increase		**16.0%**	**9.6%**	**8.0%**	**3.2%**	**1.6%**

Comparison of Property Tax Proposals: 20 Mill Floor District with 20% Reappraisal Increase & 10% Inflation

- The table on the preceding page compares the outcomes in a school district at the 20 mill floor under various property tax reform scenarios. The table assumes a <u>20% reappraisal increase, no new construction, and 10% inflation</u> over the preceding 3 years.
- In 2025 the district has 25 effective mills (with 5 emergency mills and 4 inside mills) and raises $250,000 in tax revenue.
- Under current law, in 2026 the district would experience an increase in tax revenue of 16% to $290,000.
- If the HB 186 inflationary cap were in place the 16 voted mills would effectively be reduced (through a tax credit) and the revenue increase would only be 9.6% to $274,000.
- If the HB 335 inside millage inflation cap was also in place, then the revenue increase would only be 8.0% ($270,000).
- If the HB 129 change in the definition of the 20 mill floor were implemented, then the district comes off the floor, HB 920 applies, and the growth in revenue is only 3.2% (due to inside millage) and tax revenue is $258,000.
- In the final column, inside millage growth is limited to inflation and revenue only increases by 1.6% to $254,000.

Where Do We Stand Now?

6. Piggyback Property Tax Exemptions

- **October 31st was the deadline for counties to enact the piggyback exemptions** of the homestead exemption and the 2.5% owner-occupied credit.
- If enacted, the piggyback would double the exiting exemptions and not be reimbursed by the state, resulting in a lower tax bill for homeowners and a loss in revenue for for local governments.
- According to data from the County Commissioners Association (which may not be complete) only 11 counties have enacted a piggyback on one of both of the exemptions.

7. Carryover Cash Balance Cap

- The cash balance cap of 40% included in the FY26-27 budget was vetoed by Gov. DeWine and not overridden by either the House or the Senate.
- The Governor's Property Tax Working Group recommended a 100% cap.
- **While there appears to be little legislative appetite to return to this issue, they have until Dec. 31st 2026 to override the veto and could also introduce stand alone legislation at any point.**

Where Do We Stand Now?

8. Property Tax Circuit Breaker and/or Expand Homestead Exemption

- Expanding the existing homestead exemption is the simplest and most direct route for the legislature to take to provide tax relief to those that are struggling most to pay their property taxes.
- A circuit breaker approach would provide assistance to eligible to persons of all ages and also provide assistance to renters (whose rent payments are also likely to reflect increases due to rising property taxes).
- The Ohio legislature's persistent and ongoing resistance to implementing either of these approaches has been baffling. One legislator recently claimed that expanding the homestead exemption "would be too expensive". That does beg the question, "compared to what"?
- For the last 2 budgets the Ohio legislature has consistently chosen to flatten the state's income tax, thereby lowering taxes on the state's wealthiest residents, as opposed to using state revenue to provide relief to those whose property taxes have spiked in recent years.
- **The state income tax reductions made in the FY24-25 budget cost at least $1.3 billion annually, and LSC estimates that the additional cost of the final steps will be over $1.1 billion by FY27. It is hard not to think that a portion of this foregone revenue would have been better spent on a property tax relief**

Part VII: 2025 School Levy Analysis

2023, 2024 & 2025 School Levies by Election

2023 Election	Total # of Issues	# Passing	# Failing	2023 % Passing
May	75	36	39	48.0%
August	NA	NA	NA	--
November	166	119	47	71.7%
2023 Totals	241	155	86	64.3%

2024 Election	Total # of Issues	# Passing	# Failing	2024 % Passing
March	93	45	48	48.4%
August	NA	NA	NA	--
November	141	71	70	50.4%
2024 Totals	234	116	118	49.6%

2025 Election	Total # of Issues	# Passing	# Failing	2022 % Passing
May	99	64	35	64.6%
August	NA	NA	NA	--
November	113	74	39	65.5%
2025 Totals	212	138	74	65.1%

Note: The February election was eliminated in 2016 and the August Election was eliminated in 2023.

School Operating and Capital Levies from 2007-2025

Year	Total # of Issues	% Passing	# Operating Issues	% Passing	# Capital Issues	% Passing
2007	412	50.5%	247	51.4%	165	49.1%
2008	428	53.0%	255	52.2%	173	54.3%
2009	378	60.6%	251	63.3%	127	55.1%
2010	429	53.1%	317	52.7%	112	54.5%
2011	366	51.6%	275	50.9%	91	53.8%
2012	339	56.6%	245	56.1%	95	57.9%
2013	351	57.5%	236	58.9%	115	54.8%
2014	317	65.3%	207	69.1%	110	58.2%
2015	217	84.3%	149	88.6%	68	76.5%
2016	232	72.4%	136	77.9%	96	64.6%
2017	223	71.7%	135	77.0%	88	63.6%
2018	270	68.5%	186	66.7%	84	72.6%
2019	260	75.0%	179	77.7%	81	69.1%
2020	217	69.6%	158	72.2%	59	62.7%
2021	173	75.1%	120	74.2%	53	77.4%
2022	199	68.8%	139	70.5%	60	65.0%
2023	241	64.3%	151	69.5%	90	55.6%
2024	234	**49.6%**	150	**56.0%**	84	**38.1%**
2025	212	65.1%	147	71.4%	65	50.8%

2025 School Levy Summary

- The preceding slide shows that there were 212 school levies (147 operating levies and 65 capital levies) on the ballot in 2025. The number of operating levies is consistent with 2023 and 2024 totals while the number of capital levies is lower.
- Overall, the number of school levies on the ballot remains down from historical levels. **The last 12 years (2014-2025) have been the twelve lowest annual number of levies on the ballot since 1984.** Over the 30 years from 1984-2013 the average number of levies on the ballot was 452.
- **The 147 operating levies on the ballot in 2025 is the 5th lowest total since HB 920 was passed in 1976.** Furthermore, the 9 lowest number of operating levies on the ballot since 1976 have been in the past 11 years (120 in 2021, 135 in 2017, 139 in 2022, 136 in 2016, 147 in 2025, 149 in 2015, 150 in 2024, 151 in 2023, & 158 in 2020).
- Even more significantly, **there were only 51 new new operating levies on the ballot in 2025.** The past 12 years (2014-2025) are the 12 lowest totals of new operating levies since 1976. ***The average number of new operating levies on the ballot from 1984-2013 was 165, but the average from 2014-2025 is only 47***.
- The 65 capital levies on the ballot in 2025 is lower than in 2023 and 2024 but higher than in 2020-2022 (59 in 2020, 53 in 2021 and 59 in 2022). The 2023 and 2024 totals are consistent with the 2011-2019 period when the average number of capital levies on the ballot was 92.

School Levy Passage Rates

- The preceding slide showed that school levy passage rates were significantly higher in 2025 than in 2024 when school levies passed at a 49.6% rate in 2024 – the lowest passage rate since 2004 (45.0%).
- School operating levies passed at a 56.0% rate in 2024 – the lowest rate since 2010.
- School capital levies passed at only a 38.1% rate in 2024 – the lowest passage rate going back to 1984. This was only the 7th time in the last 41 years that school capital levies passed at a lower than 50% rate. The capital levy passage rate in 2025 was 50.8% which is still below the 57.5% historical average passage rate from 1984-2023.
- From 1984 through 2013 the average passage rate of school operating levies was 52.4% and there were only 6 years in that 30 year time-frame where the passage rate was over 60%.
- However, the lowest passage rate of school operating levies in the 10 year time frame 2014-2023 was 66.3% in 2018, with an average passage rate from 2014-2023 of 73.9%.
- In this context, the **71.4% passage rate of operating levies in 2025 is consistent with more recent historical trends**.
- As the next slide will show, **the share of new vs renewal operating levies on the ballot is the driving force behind the passage rate**.

New and Renewal School Operating Levies from 2007-2025

Year	Total # of Operating Levies	% Passing	# New Levies	% Passing	# Renew & Replacement Levies	% Passing
2007	247	**51.4%**	123	**22.8%**	124	**79.8%**
2008	255	**52.2%**	135	**24.4%**	120	83.3%
2009	251	63.3%	122	35.2%	129	89.9%
2010	317	**52.7%**	173	**26.0%**	144	84.7%
2011	275	**50.9%**	168	**26.2%**	107	89.7%
2012	245	56.1%	138	33.3%	106	85.8%
2013	236	58.9%	135	36.3%	101	89.1%
2014	207	69.1%	**69**	31.9%	138	87.7%
2015	149	88.6%	**26**	65.4%	123	93.5%
2016	136	77.9%	**33**	45.5%	103	88.3%
2017	135	77.0%	**37**	37.8%	98	91.8%
2018	186	66.7%	**77**	31.2%	109	91.7%
2019	179	77.7%	**63**	49.2%	116	93.1%
2020	158	72.2%	**55**	38.2%	103	90.3%
2021	120	74.2%	**31**	29.0%	89	89.9%
2022	139	70.5%	**37**	35.1%	102	83.3%
2023	151	69.5%	**43**	**27.9%**	108	86.1%
2024	150	**56.0%**	**44**	**20.5%**	106	**70.8%**
2025	147	71.4%	**51**	**45.1%**	96	85.4%

New vs. Renewal School Operating Levies

- The preceding slide shows that renewal school operating levies are typically nearly 2.5 times as likely to pass as are new operating levies. ***From 2014-2023 new levies passed at a 37.7% rate while renewal levies passed at an 89.6% rate.***
- Because renewal levies typically pass at more than twice the rate of new levies, ***the more renewal levies are on the ballot, the higher the overall school levy passage rate.***
- From 1994-1997, 78.2% of operating levies were new levies.
- From 1998-2006, 61.1% of operating levies were new levies.
- From 2007-2013, 53.9% of operating levies were new levies.
- From 2014-2025, 28.5% of operating levies were new levies.
- ***Thus, the high recent (excluding 2024) Ohio school levy passage rate is almost entirely due to the very large proportion of renewal levies on the ballot in recent years, rather than as an indication of growing voter support for school levies.***
- In 2025, new operating levies passed at a 45.1% rate - more than double the 20.5% rate in 2024. While renewal operating levies passed at 85.4% rate in 2025, which is slightly lower than the historical average.

Capital Levy Analysis

- OEPI has begun analyzing Capital levy (bond levies, bond/PI combination levies, and PI levies) patterns and trends in the same manner in which operating levies have been analyzed.
- From 2003 through 2023 Capital levies have passed 62.0% of the time in November elections. This November the passage rate was 58.8%
- Over this same time period, Bond levies have passed 42.4% of the time with the passage rate this number being 33.3%
- Combination levies have passed 45.9% of the time from 2003-2023, however none of the 3 combo levies on the ballot passed this year.
- From 2003-2023, Permanent Improvement levies passed 76.5% of the time, with the rate this November being 77.3%.
- As is the case with operating levies, there is a considerable difference in passage rates for new and renewal PI levies.
- From 2003-2023, new PI property tax levies on the November ballot passed 30.2% of the time. Only 1 of 6 (16.7%) new PIs passed this month.
- Meanwhile renewal and replacement PI levies have passed 92.6% of the time from 2003-2023 and all 16 PI levies (100%) passed this November.